

22. SECURITY RIGHTS POSSESSION

INTRODUCTION TO THE LEGAL SYSTEM – MODULE I

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SECURITY PROPERTY RIGHTS

Security property rights are created to secure the payment of a claim

Two main types of security property rights:

1. **the right of pledge**: created on most movable objects and on certain types of rights (e.g. credits)
2. **the right of hypothec** (or mortgage): created on immovable goods and on some specific movable goods

The security right is held by the creditor of the debt and gives the holder the power to sell the item through a judicial procedure and to satisfy the debt from the proceeds

SECURITY PROPERTY RIGHTS

Mario buys a house and borrows €100,000 from a bank

As security for this loan, the bank has a mortgage on the house



If Mario does not repay the money on time, the bank may evict Mario from the house, sell it at an auction and use the proceeds to pay off the outstanding debt.

Suppose Mario still owes the bank € 80,000.

If the house brings in € 100,000 at the auction, then the bank can take €100,000 from the proceeds and must return €20,000 to Mario.

If the house only brings in €60,000, Mario still has to pay €20,000 to the bank.

SECURITY PROPERTY RIGHTS

Two prerogatives of the security property rights:

1. **Running with the asset (like all the other property rights):** If an object has been encumbered with a security by its owner in favor of his creditor and is then sold to a subsequent purchaser, the latter receives the object still encumbered with the security

2. **Priority (special feature of security property rights):** secondary security interests give their holder priority in the event of insolvency. In principle, creditors are treated equally in insolvency. However, holders of a security interest may claim their money before the creditors holding only personal rights



SECURITY PROPERTY RIGHTS

Priority: an example

Suppose that John is the owner of a house. He owes €100,000 to a bank and €50,000 to a supplier.

NO SECURITY RIGHTS

If there is no security for any of these credits and the house is sold to satisfy the creditors, the bank will receive 2/3 of the proceeds, and the supplier 1/3, in proportion to the claims they had against Joan (*paritas creditorum*)

SECURITY RIGHTS

if the bank has a right of hypothec over the house, the proceeds of the house will first be used to pay the bank

If the house brings in €80,000 the bank will receive all that money and the supplier will receive nothing

If the house brings in €140,000 the bank will receive €100,000 and the supplier €40,000

POSSESSION

The fact that a person has actual control over of a good, regardless of the circumstances by which he obtained such control, i.e. irrespective of whether the possessor is legally entitled to the good or not

- Possessor and owner may coincide
 - Whoever owns a good is also in possession of it
- Possessor and owner may be different persons
 - *E.g.* stolen goods
 - *E.g.* buyer of goods under a void contract
 - *E.g.* goods taken from the owner in good faith

POSSESSION – PROTECTION

If someone acts *as if he were* the owner, or had a property interest, then *he possesses* the right of ownership or the property interest



Protection of possession

The legal system attaches important legal consequences to actual control over an object and grants the possessor the right to defend his position

POSSESSION – PROTECTION

Since *possession* refers only to the *state of fact* and does not consider the underlying *situation at law*, the protection of *possession* also works in defense of persons who do not have the right of ownership or any property interest

**Do these unlawful possessors deserve protection?
Why protecting actual possession irrespectively of the situation at law?**

Fundamental principle that the State has monopoly on the use of force

Possession is protected to ensure peaceful and orderly intercourse in society

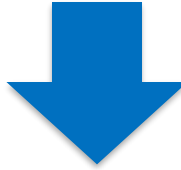


POSSESSION – PROTECTION

- **Self-help:** The possessor is entitled to defend his position by self-help in a limited number of cases:
 - *By proportionate self-defence (against the violent acts of third parties)*
 - *By the physical recovery of his possessions, immediately after the act of interference has occurred*
- **Legal protection:** Whenever the above conditions are not met, the protection of possession is granted only through legal action

POSSESSION – LEGAL PROTECTION

Restoration action: If the possessor has been *violently* or *secretly* deprived of his physical control of the good, he can sue the dispossessor to regain possession



What if the possessor and the owner are not the same person?

What if the restoration action is brought by an owner (non-possessor) against a thief (possessor)?

POSSESSION – LEGAL PROTECTION

1. Restoration of possession (state of facts)

The legal system – *firstly* and *temporarily* – orders restoration of possession, i.e. the return of the object to the person who was violently or secretly stripped of possession

2. Recovery of ownership (situation at law)

The protection of possession is only temporary, as the owner can then bring a recovery action against the possessor, i.e. the action granted to the owner to recover the “thing” from whoever possesses or has custody of it

POSSESSION – MOVABLES

1.



Paul gets into an Art center and buys a painting paying € 5,000

2.

He asks the seller to keep the painting until he comes back

3.

Bill gets into the same Art center. He likes the same painting and he wants to buy it



4.

Bill offers € 30,000 cash for the painting
The seller accepts and delivers the good

5.

Going out with the painting, Bill bumps into Paul, who recognizes the painting and claims it



POSSESSION – MOVABLES

Protection of Paul

Paul bought the painting from the true owner

The seller was no longer the owner of the painting

Bill cannot acquire ownership from a non-owner

Protection of the situation at law



Protection of Bill

He acquired control of the good from the seller

There were no significant reasons to believe that the seller was not the true owner

It would have been difficult for Bill to verify if the seller was the true owner

Protection of the state of fact

POSSESSION – MOVABLES

General principle: no one can transfer a property right that he does not have in the first place

BUT

Acquisition of movables from a non-owner:

Any person to whom **movables** are transferred by a person who is not the owner acquires ownership, provided that:

- 1. the movable thing is delivered to him (possession)*
- 2. he is acting in good faith at the time of the transfer*
- 3. there is a “suitable title” for the transfer of the right of ownership*

POSSESSION – MOVABLES

Rationale: *Transparency and reliability of transactions*

By establishing that the possessor in good faith acquires the right of ownership, the legal system promotes the circulation of wealth, by protecting potential purchasers who – in good faith – have relied on the *state of fact* (the exercise of the “*power over the thing*” by the possessor)

It does not impose on market participants to find out who is the real owner of the movable goods for which they are negotiating



POSSESSION – IMMOVABLES

1.



Paul owns a plot of land in the countryside that he never exploits or visits

2.

Given the abandoned state of the field, Bill, Paul's neighbor, decides to start cultivating it

3.

As the years pass by, in the absence of any reaction by Paul, Bill decides to erect a fence around the field to protect his harvest



5.

Paul claims the removal of the fence by Bill, and the recovery of his land

4.



After 20 years, Paul visits the field and finds it well farmed, but closed by Bill's fence

POSSESSION – IMMOVABLES

Protection of Paul

Paul is the owner of the plot of land

Ownership does not expire because of prescription

Ownership includes the right to do nothing at all with the property

Protection of the situation at law



Protection of Bill

He possessed the plot of land for a long period of time

He prevented the abandonment of the plot of land and increased its value

He deserves more protection than an idle owner

Protection of the state of fact

ACQUISITIVE PRESCRIPTION

***Continued and uninterrupted* possession over a given period of time leads to the acquisition of a right of ownership (or property interest) in any good, whether movable or immovable**

This general doctrine is applied in all the systems of the Western legal tradition
Some elements may vary according to the specific rules of each jurisdiction:

E.g.

- **The period of time:** number of years required to acquire ownership by possession
- **The subjective element:** in certain legal systems, the acquisitive prescription period is shorter for possessors in good faith (those who ignore that the good does not belong to them) / longer for bad faith possessors

See Ch 10 para 5 (for a comparison with “extinctive prescription”)



ACQUISITIVE PRESCRIPTION

Rationale

1. To promote *active use of resources* (by the possessor) over property that has not been used by the owner for a long time
2. To promote certainty (*a situation of fact ascertained over time coincides with the situation at law*)

Are these justifications sufficient to legitimately support the prescription of an owner's right?

ACQUISITIVE PRESCRIPTION

General Principles and Constitutional traditions of European Law

European Convention on Human Rights (P1-1)

P 1-1 – Protection of Property

*Every natural or legal person is entitled to the **peaceful enjoyment** of his possessions. No one shall be deprived of his possessions except in the **public interest** and **subject to the conditions provided for by law** and by the general principles of international law*

Is it consistent with the general interest to deprive an idle owner of the peaceful enjoyment of his goods without even offering him financial compensation?

EUROPEAN COURT OF HUMAN RIGHTS

The Graham family occupied Pye's land and, after 12 years, attempted to acquire it by acquisitive prescription under English law.

The English House of Lords ruled that the Grahams were the rightful owners of the land as Pye had failed to take possession of it



The case was litigated as *Pye v United Kingdom* before the European Court of Human Rights, as Pye claimed that the deprivation of his property was in breach of the protections afforded by the European Convention on Human Rights

EUROPEAN COURT OF HUMAN RIGHTS

Pye v United Kingdom (2005-2007)

The Court originally ruled that acquiring property by adverse possession was contrary to Article 1 of Protocol 1 to the European Convention on Human Rights (the right to the peaceful enjoyment of one's possessions)



On appeal, the Grand Chamber subsequently held that although there was an interference with the Convention right to property, it was a proportionate and therefore permissible interference

Acquisitive prescription is still considered human-rights compliant